GLOBAL INVESTMENT SOCIETY — FULL ASSUMPTIONS GUIDE

lululemon athletica inc. (NASDAQ: LULU) | Every red assumption on every tab | FY2025A reported; FY2026E–FY2030E projected

Convention: Blue = reported (10-K / earnings). Red = analyst assumption. Black = formulas. This PDF mirrors columns *Justification*, *Source*, and *Ctrl+F* on each workbook tab. Click source links to open the filing or data page.

DCF workbook tabs: WACC → Scenarios → Revenue Drivers → DCF → Comps
3-statement workbook tabs: Assumptions → Income Statement → Balance Sheet → Cash Flow

WACC

DCF workbook — WACC tab

Assumption	Justification (~20 words)	Source (click)	Ctrl+F / proof
Risk-free rate (10-yr UST)	4.8% risk-free = FRED DGS10 on 2026-09-03 (4.77%) rounded; replaces the stale 4.3% input.	FRED: 10Y Treasury (DGS10)	Ctrl+F "2026-09-03" → observation 4.77. Model uses 4.8%. Also Ctrl+F "DGS10" for the series title.
Equity risk premium	6.0% ERP is a conservative overlay vs Damodaran Jan-2026 implied 4.23%; used to keep CoE above the risk-free 4.8%.	Damodaran: Historical Implied ERP	Ctrl+F "4.23%" on the 2025 row (last data row). Header is "Implied ERP (FCFE)". Model uses 6.0%.
Observed beta (5Y Monthly) — levered βL	Yahoo Beta (5Y Monthly) = 0.86. Levered equity βL from ~60 monthly returns vs S&P 500 — not unlevered.	Yahoo Finance: LULU Beta (5Y Monthly)	Ctrl+F "Beta (5Y Monthly)" → 0.86. Levered βL (Yahoo Key Statistics).
Yahoo Total Debt (mrq)	Yahoo Total Debt (mrq) = $2.14B on the same Key Statistics page as βL. Most recent quarter balance sheet.	Yahoo Finance: LULU Total Debt (mrq)	Ctrl+F "Total Debt (mrq)" → 2.14B. Same page as beta.
Yahoo Market Cap	Yahoo Market Cap = $11.14B on the same page as βL and Total Debt (mrq). Market value of equity.	Yahoo Finance: LULU Market Cap	Ctrl+F "Market Cap" → 11.14B. Same page as beta and debt.
D/E for unlever (Yahoo debt ÷ mkt cap)	Unlever D/E = Yahoo debt (mrq) ÷ Yahoo market cap ≈ 0.19. Market-value D/E from the beta source page (Hamada convention).	Yahoo Finance: debt (mrq) ÷ market cap	Formula: D/E = E[Yahoo debt mrq] ÷ E[Yahoo market cap]. 2.14B ÷ 11.14B ≈ 0.19.
Yahoo book D/E (mrq) — reference	Yahoo Total Debt/Equity (mrq) = 44.69% is book D/E on the same page — shown for reference, not used in Hamada.	Yahoo Finance: Total Debt/Equity (mrq)	Ctrl+F "Total Debt/Equity (mrq)" → 44.69%. Book D/E — reference only, not in Hamada.
Unlevered βu (Hamada)	βu = 0.86 ÷ [1 + 0.70 × 0.19]. Strip Yahoo market D/E from βL → βu ≈ 0.76. No vendor publishes D/E inside the regression.	WACC tab: Hamada unlever (Yahoo market D/E)	βu = E[βL] ÷ (1 + 0.70 × E[D/E Yahoo]). 0.86 ÷ 1.134 ≈ 0.76. Regression does not publish embedded D/E.
D/E for relever (WACC lease debt / E)	Relever D/E = FY25 10-K lease debt ÷ our market cap ≈ 0.16 — WACC capital structure we model.	WACC tab: FY25 lease debt / market equity	D/E = E[FY25 lease debt] ÷ E[market cap]. 1,798,441 ÷ 11,138,000 ≈ 0.16 (10-K + model).
Sector βu benchmark (Damodaran) — not used	Benchmark only: Damodaran unlevered Retail (Special Lines) βu = 0.95. Not used — we derive βu from Yahoo βL.	Damodaran: US betas by sector (Jan 2026)	Ctrl+F "Retail (Special Lines)" → 0.95 βu. Sector benchmark — not used in WACC.
Beta used (relevered for lease debt)	β used = βu × [1 + 0.70 × WACC D/E] ≈ 0.84. Relevered βL feeds CAPM: CoE = rf + β×ERP.	WACC tab: Hamada relever (total D/E incl. leases)	β used = E[βu] × (1 + 0.70 × E[D/E WACC]). ≈ 0.84 → CoE row below.
Pre-tax cost of debt (lease-equivalent)	5.0% pre-tax lease-equivalent borrowing cost; cheaper than equity. No funded revolver borrowings per FY25 10-K.	LULU FY2025 10-K: lease liabilities & no funded debt	Ctrl+F "Current lease liabilities" + "Non-current lease liabilities" → debt equiv. 5.0% illustrative lease borrowing cost.
Tax rate	30% cash tax matches FY2026 guidance (“approximately 30%”). Also sets (1–T) = 0.70 in the Hamada β unlever/relever formulas.	Q2 FY2026 outlook: tax rate ≈ 30%	Ctrl+F "a tax rate of approximately 30%" on the FY2026 outlook paragraph.
Share price ($)	$100 share price ≈ NASDAQ Last Sale after Q2 FY2026 guide cut; rounded from $100.61 close.	NASDAQ LULU last sale (current price)	Ctrl+F "closed at $100.61" → Last Sale $100.61 (NASDAQ). Model uses $100 rounded.
Market value of equity	Market equity = share price × shares outstanding. Capital-structure weighting numerator for relevered β and WACC weights.	WACC tab: price × shares	Share price row × shares outstanding row on this tab.
Shares outstanding (000)	111,380k class A shares outstanding at FY25 year-end (10-K cover). Diluted WA 119,068 is for EPS, not market cap.	LULU FY2025 10-K: shares outstanding	Ctrl+F "111,380 and 116,166 issued and outstanding" → 111,380k class A shares (FY25 10-K cover).
Operating lease liabilities (debt equiv.)	ASC 842 operating lease liabilities = current + non-current ($1,798,441k FY25). Treated as debt equivalent in WACC and EV bridge.	LULU FY2025 10-K: operating lease liabilities	Ctrl+F "Current lease liabilities" → 298,724 | "Non-current lease liabilities" → 1,499,717 | sum = 1,798,441 ($000)
Funded debt (term loans / bonds)	Funded term debt $0 — 10-K: no borrowings outstanding on the revolver. Leases are the only debt equivalent here.	LULU FY2025 10-K (no funded debt)	Ctrl+F "no borrowings were outstanding under this facility" → funded debt $0
Equity weight	Equity weight = market cap ÷ (market cap + lease debt). ~86% at $100 and FY25 lease balance.	WACC tab: capital structure	Equity weight = market cap ÷ (market cap + lease debt). Live formula on this tab.

Assumption	Justification (~20 words)	Source (click)	Ctrl+F / proof
Debt weight (leases + funded)	Debt weight = lease liabilities ÷ (market cap + lease debt). ~14% — ASC 842 leases, not bank debt.	LULU FY2025 10-K: operating lease liabilities	Debt weight = lease liabilities ÷ (market cap + lease debt). ~14% at FY25 balances.

Scenarios

DCF workbook — Scenarios tab

Assumption	Justification (~20 words)	Source (click)	Ctrl+F / proof
FY2026 revenue growth	–6.1% FY2026 revenue growth matches company guidance midpoint of –5% to –7% after Q2 FY2026 print.	LULU Q2 FY2026 earnings release	Ctrl+F "decline of 5% to 7%" → FY2026 revenue guide; model –6.1% midpoint
FY2027–30 revenue growth	2.3% FY27–30 growth matches StockAnalysis Revenue Growth Forecast (3Y) of 2.26%; next-year consensus is +2.64%.	StockAnalysis: LULU 3Y revenue forecast	Ctrl+F "Revenue Growth Forecast (3Y)" → 2.26%. That is the unique line (do not search "Net revenue"). Model FY27–30 uses 2.3%.
FY2026 clean EBIT margin	13.2% is the real/run-rate OM: Q2 18.8% minus 560bps of tariff refunds. FY26 then adds the $134.5M refund once on top.	Q2 FY2026 release: 18.8% OM minus 560bps tariffs	Ctrl+F "18.8%" (Q2 OM) and "560 basis points" (tariff boost). Real run-rate = 18.8% – 5.6% = 13.2%. Do not use "decreased 13%".
FY2026 tariff refund (one-time)	Add back $134.5M in FY26 only — already recognized (reduced COGS). +130bps on FY26 sales, not +560bps (that was Q2-only).	Q2 FY2026 release: $134.5M IEEPA tariff refunds	Ctrl+F "134.5 million" → IEEPA tariff refunds reduced COGS. Add this dollar amount to FY26 EBIT only. Full-year boost = 134.5 / FY26 sales ≈ 1.3ppt, not 5.6ppt.
Terminal (FY2030E) EBIT margin	FY30 15.5% is a partial recovery vs the FY25 10-K OM of 19.9% (unique Ctrl+F). Still well below the FY24 23.7% peak.	FY2025 10-K: Operating margin 19.9% (one hit)	Ctrl+F "19.9%" (one hit) → Operating margin decreased 380 basis points to 19.9%. That is FY25 OM. Do not search the words Income from operations (17 hits). Model FY30 15.5% is a partial-recovery assumption.
WACC (base links to WACC tab)	Base WACC from WACC tab (lease-adjusted CAPM). Bear/bull bracket ±100bps around the calculated base.	WACC tab: CAPM build	WACC tab → green cell = rf 4.8% + relevered β × ERP 6.0%
Terminal growth (g)	2.25% terminal g sits next to FRED GDPC1 Q2/Q2 real GDP ≈ 2.1% (24,269.613 / 23,770.976 – 1).	FRED: Real GDP (GDPC1)	Ctrl+F "Q2 2026" → 24,269.613 and "Q2 2025" → 23,770.976. YoY = 2.1%. Model terminal g 2.25%.
Tax rate	30% cash tax from FY2026 outlook; FY25 10-K effective is 29.5% (659,784 / 2,238,967).	Q2 FY2026 outlook: tax rate ≈ 30%	Ctrl+F "a tax rate of approximately 30%" on the earnings outlook. FY25 10-K: "Income tax expense" 659,784 ÷ "Income before income tax expense" 2,238,967 = 29.5%.
D&A (% of revenue)	4.5% D&A / sales = FY25 496,228 / 11,102,600 on the 10-K cash-flow statement.	LULU CF statement (10-K)	Ctrl+F "Depreciation and amortization" → 496,228 on this 10-K HTML (not the SEC viewer). ÷ "Net revenue" 11,102,600 = 4.5%.
Capex (% of revenue)	FY26 7.0% is $735M on $10.4B sales, not FY25 $11.1B. Since 7.0% steps toward FY25 6.1%, we assume a fade: DCF 5.5% = (7.0+6.0+5.5+5.0+4.0)/5.	LULU 10-K: 2026 capex guide $725–745M	Ctrl+F "680,802" → FY25 capex $680.8M. Ctrl+F "11,102,600" → FY25 sales $11.1B. Ctrl+F "$725.0 million and $745.0 million" → FY26 capex mid $735M.
FY2026 sales (capex denominator)	FY26 sales are $10.35–$10.50B (earnings). Use that $10.4B year as the 7% denominator, not FY25 $11.1B.	Q2 FY2026 outlook: $10.350B–$10.500B sales	Ctrl+F "$10.350 billion to $10.500 billion" → FY26 net revenue guide (one hit). Mid $10.425B.
Gross margin %	56.6% of revenue (gross margin). Isolates COGS for inventory/AP drivers; base case held near FY25 reported GM.	LULU FY2025 10-K: Gross profit & COGS	56.6% of revenue (gross margin). Ctrl+F "Gross profit" → 6,284,132 ($000) Ctrl+F "Net revenue" → 11,102,600 ($000) Ctrl+F "Cost of goods sold" → 4,818,468 ($000)
DSO (days) — flat vs FY25	Not % of revenue — DSO (days), flat ~6.3. Mostly own stores/DTC (cash at register); AR is small wholesale residual — predictable ~6 days FY22–25.	LULU FY2025 10-K: Accounts receivable, net	Not % of revenue — DSO (days), flat ~6.3. Why flat: ~90%+ revenue is company-operated stores + e-commerce (cash/card at sale); AR is a small, stable wholesale/license residual — predictable collection, not trade credit. Ctrl+F "Accounts receivable, net" → 190,657 ($000) Ctrl+F "Net revenue" → 11,102,600 ($000) DSO = (190,657 ÷ 11,102,600) × 365 ≈ 6.3 days (~6.0–6.3 FY22–25). Ctrl+F "company-operated stores" Ctrl+F "E-commerce"
Accounts receivable (balance)	Implied ~1.7% of revenue (not a direct % plug). AR = (DSO÷365)×revenue; flat DSO because sales are mostly own-store/DTC, not credit wholesale.	LULU FY2025 10-K: Accounts receivable, net	Implied ~1.7% of revenue (= 190,657 ÷ 11,102,600); not a direct % plug. AR_t = (DSO ÷ 365) × Revenue_t. DSO flat because own-store/DTC dominates — AR scales predictably with sales. Ctrl+F "Accounts receivable, net" → 190,657 ($000) Ctrl+F "Net revenue" → 11,102,600 ($000)

Assumption	Justification (~20 words)	Source (click)	Ctrl+F / proof
FY25 DIO anchor (days)	Not % of revenue — DIO (days). FY25 anchor: DIO = (Inventories ÷ COGS) × 365 = (1,700,753 ÷ 4,818,468) × 365 ≈ 129 days (FY24 inv: 1,442,081). Forecast path: DIO_t = FY25 DIO – (1 day × year t); flat across scenarios.	LULU FY2025 10-K: Inventories & COGS	Not % of revenue — DIO (days). FY25 anchor formula: DIO = (Inventories ÷ COGS) × 365 Ctrl+F "Inventories" → 1,700,753 ($000) | FY24: 1,442,081 Ctrl+F "Cost of goods sold" → 4,818,468 ($000) = (1,700,753 ÷ 4,818,468) × 365 ≈ 129 days Forecast: DIO_t = FY25 DIO – (1 × year t)
DIO decline (days / forecast yr)	Not % of revenue — subtract 1 DIO day per forecast year (–5 days FY26–30). Feeds Inventories = (DIO_t ÷ 365) × COGS_t. Ctrl+F "reduce the percentage of markdowns" Ctrl+F "On a unit basis, we expect inventories to slightly decrease"	LULU FY2025 10-K: inventory & markdown outlook	Not % of revenue — DIO −1 day/yr (–5 days FY26–30). Feeds Inventories_t = (DIO_t ÷ 365) × COGS_t. Ctrl+F "reduce the percentage of markdowns" Ctrl+F "On a unit basis, we expect inventories to slightly decrease"
Inventories (balance)	Not % of revenue — $ balance (not a direct % plug). Inventories_t = (DIO_t ÷ 365) × COGS_t COGS_t = Revenue_t × (1 – GM%). FY25 check: (129 ÷ 365) × 4,818,468 ≈ 1,700,753. Ctrl+F "Inventories" → 1,700,753 ($000) Ctrl+F "Cost of goods sold" → 4,818,468 ($000)	LULU FY2025 10-K: Inventories	Not % of revenue — Inventories_t = (DIO_t ÷ 365) × COGS_t. COGS_t = Revenue_t × (1 – GM%). Ctrl+F "Inventories" → 1,700,753 ($000) Ctrl+F "Cost of goods sold" → 4,818,468 ($000) FY25 proof: (129 ÷ 365) × 4,818,468 ≈ 1,700,753
DPO (days) — flat vs FY25	Not % of revenue — DPO (days), flat ~25.1. Implied AP ≈3.0% of sales / 6.9% of COGS.	LULU FY2025 10-K: Accounts payable & COGS	Ctrl+F "Accounts payable" → 331,421 ($000) Ctrl+F "Cost of goods sold" → 4,818,468 ($000) Not % of revenue — DPO ≈ 25.1 days. Implied AP ≈ 3.0% of sales / 6.9% of COGS.
Accounts payable (balance)	Implied ~3.0% of revenue (not a direct % plug). Balance = (DPO÷365)×COGS; DPO flat at FY25.	LULU FY2025 10-K: Accounts payable	Ctrl+F "Accounts payable" → 331,421 ($000) Ctrl+F "Net revenue" → 11,102,600 ($000) Implied ~3.0% of revenue (= 331,421 ÷ 11,102,600); forecast via DPO×COGS.
Prepaid expenses (% of revenue)	5.1% of revenue (flat). FY25 other current assets (prepaids + tax receivables) ÷ net revenue.	LULU FY2025 10-K: other current assets (residual)	Ctrl+F "Prepaid expenses and other current assets" → 211,620 ($000) Ctrl+F "Prepaid and receivable income taxes" → 352,469 ($000) 5.1% of revenue (flat). OCA residual = 564,089 ÷ 11,102,600.
Accrued liabilities (% of revenue)	6.0% of revenue (flat). FY25 accrued liabilities ÷ net revenue; comp/marketing accrual mix.	LULU FY2025 10-K: Accrued liabilities and other	Ctrl+F "Accrued liabilities and other" → 662,982 ($000) Ctrl+F "Net revenue" → 11,102,600 ($000) 6.0% of revenue (flat). 662,982 ÷ 11,102,600.
Current operating assets (subtotal)	Not one % — sum ≈22.1% of FY25 sales (AR ~1.7% + inventory ~15.3% + prepaids 5.1%).	Scenarios tab: AR + inventory + prepaids	Not one % of revenue — sum of line items. FY25: AR ~1.7% + inventory ~15.3% + prepaids 5.1% ≈ 22.1% of sales.
Current operating liabilities (subtotal)	Not one % — sum ≈9.0% of FY25 sales (AP ~3.0% + accrued liabilities 6.0%).	Scenarios tab: AP + accrued liabilities	Not one % of revenue — sum of line items. FY25: AP ~3.0% + accrued liabilities 6.0% ≈ 9.0% of sales.
Net working capital (balance)	Not one % — net ≈13.2% of FY25 sales ($1,461,096k). COA minus COL; rolls forward each year.	LULU FY2025 10-K: working-capital components	Not one % of revenue — net balance. FY25 NWC ≈ 13.2% of sales ($1,461,096k = COA – COL).
ΔNWC (prior yr – current yr)	Not % of revenue — $ change in NWC year-over-year. Prior-year NWC minus current-year NWC for the FCF bridge.	Scenarios tab: NWC roll-forward (driver schedule)	Not % of revenue — $ change year-over-year. FY26: revenue –6.1% + DIO –1 day → NWC falls → ΔNWC positive (WC release). FY27–30: revenue +2.3%/yr → AR & inventory rebuild → ΔNWC negative (WC build).

Revenue Drivers

DCF workbook — Revenue Drivers tab

Assumption	Justification (~20 words)	Source (click)	Ctrl+F / proof
Openings	Store openings skew to China (+20 FY26) vs mature Americas (+8). Anchored to FY25 +44 net stores and 11% sq-ft growth.	FY2025 10-K: store count & expansion	Ctrl+F "Total company-operated stores" → 811 (FY25). FY25 added 44 net stores; model skews openings to China.
Closures	Closures assume 2–3 per mature region annually as leases roll; immaterial vs openings in expansion markets.	FY2025 10-K: lease renewal / fleet	Ctrl+F "lease" / store fleet — immaterial closures vs expansion; 2–3 per mature region.
Sqft Store	4,367 avg sq ft/store = implied FY25 total sq ft / 811 stores. Modest expansion to 4,500 by FY30.	FY2025 10-K: sales per square foot	Ctrl+F "sales per square foot were $1,426" → implied 3.54M sq ft / 811 stores ≈ 4,367 sq ft.
Spsf	FY26 SPSF $1,380 reflects Americas traffic/conversion pressure; recovers toward $1,440 by FY30.	FY2025 10-K: comparable sales & SPSF	Ctrl+F "sales per square foot were $1,426" → FY25 reported $1,426; FY26 model $1,380 on traffic pressure.
Comp Americas	FY25 Americas comp –3% per 10-K (traffic, conversion, AOV down). FY26 –4%: modest step-down before flat FY27 as promo clears.	FY2025 10-K: Americas comparable sales	Ctrl+F "Americas comparable sales decreased 3%" → FY25 anchor. FY26 model –4% before stabilization.
Comp China	FY25 China comp +20% (+19% CCY) per 10-K. FY26 +14%: still fastest region but moderating as the store base scales.	FY2025 10-K: China Mainland comparable sales	Ctrl+F "China Mainland comparable sales increased 20%" → FY25 anchor. FY26 model +14% on a larger base.
Comp Row	FY25 RoW comp +9% (+7% CCY) per 10-K. FY26 +7%: hold above CCY, fade to +4% by FY30 as APAC/Europe base matures.	FY2025 10-K: Rest of World comparable sales	Ctrl+F "Rest of World comparable sales increased 9%" → FY25 +9% (+7% CCY). FY26 model +7%, fading to +4%.
Comp Store Rev	Existing-store sales only — prior store rev grown by geo comp %. New doors are a separate line, not in here.	Revenue Drivers: comp-store formula	=prior store rev×(71%×(1+Am comp)+16%×(1+China)+13%×(1+RoW)). Existing base only — new stores are on the next row.
New Store Rev	Net new doors × sq ft × $/sq ft is plain dollars. /1000 → $000 on this tab. ×0.55 'cause year-one stores don't run full.	Revenue Drivers: net-new-store formula	=(open–close each geo)×sq ft×$/sq ft → raw annual $. /1000 flips that to $000 (this whole tab is thousands). ×0.55 = year-one haircut — new boxes don't run at full SPSF yet. FY27 ex: (D7–D8 +D11–D12+D15–D16)×D19×D24/1000×0.55.
End Stores	Simple roll-forward: where you started, plus openings, minus closures. That's your ending store count for the year.	Revenue Drivers: ending-stores formula	=beginning stores + openings – closures. Roll-forward — nothing fancy, just how many doors you end with.
Beg Stores	Beginning stores = last year's ending count. Same number, just carried forward into the new fiscal year.	Revenue Drivers: beginning-stores formula	=prior-year ending stores. Same count, new column — that's where the year starts.
Total Stores	Add up Americas + China + RoW ending stores. Should tie to the 10-K total company-operated count.	Revenue Drivers: total-stores formula	=Americas ending + China ending + RoW ending. Should foot to total company-operated stores.
Total Sqft	Ending stores times avg sq ft per box. Gives you total fleet square footage for the productivity math.	Revenue Drivers: total-sqft formula	=total ending stores × avg sq ft per store. Fleet size in square feet for the productivity lines.
Store Rev Base	Last year's total store-channel revenue — the base you're growing comps off of, not the new boxes.	Revenue Drivers: prior store-rev formula	=prior column's total store-channel revenue. Base you're applying comps to — not new-store contribution.
Store Rev	Brick-and-mortar channel = comp store sales plus whatever the net new stores contributed. That's the whole store line.	Revenue Drivers: store-channel formula	=comparable store revenue + net new store revenue. Full brick-and-mortar channel for the year.
Ecomm Rev	Traffic × conversion × AOV is dollars. ×1M 'cause sessions are in millions; /1000 puts it in $000 like everything else.	Revenue Drivers: e-comm formula	=sessions×1,000,000×conversion×AOV/1000 → e-comm $000. ×1M 'cause sessions are millions; /1000 matches tab units.
Other Rev Growth	Take last year's other-channel revenue and grow it by your assumed %. Wholesale/license/outlets — not stores or dot-com.	Revenue Drivers: other-rev formula	=prior other-channel rev × (1 + growth %). Wholesale/license/outlets — grown off last year.
Geo revenue scale formula	FY26 geo rev = FY25 geo rev × (FY26 total rev ÷ FY25 total rev). Total = store + e-comm + other.	Revenue Drivers: geo-scale formula	FY26 geo rev = FY25 geo rev × (FY26 total rev ÷ FY25 total rev). Total rev = store + e-comm + other.
Total Rev	Bottom-up total = store channel + e-comm + other. That's your driver-built revenue before you check Scenarios.	Revenue Drivers: total-rev formula	=store channel + e-commerce + other. Bottom-up top line before you reconcile to Scenarios.
Scen Rev	Pulls the Scenarios base-case revenue path — that's still the number the DCF actually uses, not the driver total.	Scenarios tab: base revenue	=Scenarios! base-case revenue. DCF still runs off this path — not the driver total.
Variance	Driver-built revenue minus Scenarios revenue. Shows you how far off the bottom-up path is from what you're valuing on.	Revenue Drivers: variance formula	=bottom-up total – Scenarios revenue. Positive = drivers above Scenarios; negative = below.

Assumption	Justification (~20 words)	Source (click)	Ctrl+F / proof
Variance (%) formula	Variance as a percent of Scenarios revenue. Easy read on whether the driver schedule is close or way out of line.	Revenue Drivers: variance % formula	=variance ÷ Scenarios revenue. Quick % read on how far the driver build is from the valuation path.
Ecomm Sessions	485M FY25 sessions implied from reported e-comm revenue / conv / AOV. FY26 –3% on Americas softness.	FY2025 10-K: e-commerce revenue	Ctrl+F "E-commerce" → 4,918,697 ($000). Sessions implied from revenue / conv / AOV.
Ecomm Conv	3.3% FY26 digital conversion vs 3.5% pressure cited in 10-K Americas; gradual recovery to 3.6%.	FY2025 10-K: digital / traffic commentary	Ctrl+F "lower conversion rates" (Americas MD&A). FY26 model 3.3% digital conversion.
Ecomm Aov	AOV $305 FY26 on promo intensity; steps to $315 by FY30 as mix normalizes.	FY2025 10-K: e-commerce revenue	Ctrl+F "average order value" (Americas MD&A). FY26 model $305 AOV.
Other Rev	Other channels (wholesale/license/outlets) held at FY25 $1.13B base; low-single-digit growth thereafter.	FY2025 10-K: channel revenue table	Ctrl+F "Company-operated stores" and "E-commerce" → residual other channels ≈ $1.13B.
Geo Americas	Geographic split scales with consolidated growth; FY25 Americas 70.7% of revenue per 10-K segment table.	FY2025 10-K: segmented net revenue	Ctrl+F "Americas" segment table → $7,847,044 net revenue (70.7%).
Geo China	China 15.8% of FY25 revenue; fastest comp and store growth — expansion market in the driver schedule.	FY2025 10-K: segmented net revenue	Ctrl+F "China Mainland" segment → $1,754,799 net revenue (15.8%).
Geo Row	Rest of World 13.5% of FY25 revenue; mid-single-digit comps and steady openings.	FY2025 10-K: segmented net revenue	Ctrl+F "Rest of World" segment → $1,500,757 net revenue (13.5%).
Mix Women	Women's mix fades 62.5%→60% as men's penetrates; FY25 reported 63% women's per 10-K category disclosure.	FY2025 10-K: product category mix	Ctrl+F "women's, men's, and accessories" → 63% / 24% / 13% of net revenue.
Mix Men	Men's mix rises 24.5%→27%; FY25 men's grew 4% vs women's 5% per 10-K category commentary.	FY2025 10-K: product category mix	Ctrl+F "men's" category growth 4% in MD&A; mix rises to 27% by FY30.
Mix Accessories	Accessories steady at 13% of revenue; FY25 accessories +8% per 10-K category disclosure.	FY2025 10-K: product category mix	Ctrl+F "accessories" +8% category growth; hold 13% mix.
Store Traffic	Fleet traffic memo line — not a separate FCF item. Calibrated to FY25 store productivity commentary.	FY2025 10-K: store traffic commentary	Ctrl+F "store traffic" → lower traffic in Americas; memo line only.
Store Conv	In-store conversion memo — 10-K cites lower conversion in Americas; FY26 27% improving to 29%.	FY2025 10-K: conversion rate commentary	Ctrl+F "conversion rates" → lower in Americas; in-store memo 27%→29%.
Store Aov	In-store average transaction $115–$122; supports SPSF and comp-sales bridge on the driver tab.	FY2025 10-K: average order value commentary	Ctrl+F "average order value" → lower AOV in Americas; memo $115–$122.

DCF

DCF workbook — DCF tab (valuation & sensitivity)

Assumption	Justification (~20 words)	Source (click)	Ctrl+F / proof
Selected exit EV/EBITDA (Gordon implied)	Selected exit is Gordon TV / FY30 EBITDA. Identity: (UFCF/EBITDA)×(1+g)/(WACC–g). Not Deckers and not a peer average.	DCF: Gordon implied exit (TV / FY30 EBITDA)	No peer Ctrl+F. This cell = Gordon TV / FY30 EBITDA = (UFCF/EBITDA)×(1+g)/(WACC–g). WACC and g are sourced on those rows.
EV bridge: debt & operating leases	Subtract ASC 842 operating lease liabilities as debt equivalent. Funded term debt $0 per FY25 10-K; leases ≈ $1.80B.	LULU FY2025 10-K: operating lease liabilities	—
Sensitivity grid axes	Red WACC and g grid values bracket base case ±100bps discount rate and ±75bps terminal growth for sensitivity.	Scenarios: WACC & terminal g	Scenarios tab → Ctrl+F "WACC" and "Terminal growth" rows (base-case inputs)
Sensitivity — WACC axis	WACC axis 9.0–11.0% brackets 10.0% base from CAPM (rf + β×ERP) on WACC tab; ±100bps sensitivity band.	Damodaran: Historical Implied ERP	Ctrl+F "4.23%" (2025 implied ERP). Sensitivity WACC axis brackets the 10.5% base.
Sensitivity — terminal g axis	Terminal-g axis 1.5–3.0% brackets 2.25% base; bounded by long-run real GDP and inflation benchmarks.	FRED: Real GDP (GDPC1)	Ctrl+F "GDPC1" → bounds terminal-g sensitivity grid 1.5%–3.0%

Comps

DCF workbook — Comps / Football Field tab

Assumption	Justification (~20 words)	Source (click)	Ctrl+F / proof
Nke	Nike EV/EBITDA is PitchBook daily EV / TTM EBITDA as of 04-Sep-2026. Black formula, not a typed print.	PitchBook Comps Set 04-Sep-2026	No public HTML. PitchBook Comps Set 04-Sep-2026. Prove daily EV and TTM EBITDA on that screen; E = I/J.
Deck	Deckers EV/EBITDA is PitchBook daily EV / TTM EBITDA as of 04-Sep-2026. Closest premium-footwear peer.	PitchBook Comps Set 04-Sep-2026	No public HTML. PitchBook Comps Set 04-Sep-2026. Prove daily EV and TTM EBITDA on that screen; E = I/J.
Ads	adidas EV/EBITDA is PitchBook daily EV / TTM EBITDA as of 04-Sep-2026. Global incumbent.	PitchBook Comps Set 04-Sep-2026	No public HTML. PitchBook Comps Set 04-Sep-2026. Prove daily EV and TTM EBITDA on that screen; E = I/J.
Pb	PitchBook Comps Set 04-Sep-2026. Multiple = daily EV / TTM EBITDA. UAA excluded from the mean (negative EBITDA).	PitchBook Comps Set 04-Sep-2026	No public HTML. PitchBook Comps Set 04-Sep-2026. Prove daily EV and TTM EBITDA on that screen; E = I/J.
Onon	On Holding EV/EBITDA 14.0x equals StockAnalysis 14.03x, rounded; high-growth athletic peer.	StockAnalysis: ONON EV/EBITDA	Ctrl+F "EV / EBITDA" → 14.03. Model uses 14.0x.
Vfc	VFC EV/EBITDA 10.7x equals StockAnalysis 10.71x; challenged multi-brand apparel peer.	StockAnalysis: VFC EV/EBITDA	Ctrl+F "EV / EBITDA" → 10.71. Model uses 10.7x.
Alo Ask	Reuters: about $10 billion Moelis ask for Color Image. 2026 follow-up: no deal announced. Ask, not a print.	Reuters: Alo parent $10bn Moelis ask	Ctrl+F "at about $10 billion" and "hired investment bank Moelis". That is the 2023 ask, not a closed EV.
Alo Closed	Reuters June 2026: no deal was announced on the 2023 process. The $10bn is still an ask.	Reuters: Alo 2023 process — no deal	Ctrl+F "roughly $10 billion" and "No deal was announced". Still an ask.
Alo Sales	Forbes estimates Color Image parent sales nearly $2 billion. Mixed Alo + Bella+Canvas. Not Alo-only, not audited.	Forbes: Color Image nearly $2bn sales	Ctrl+F "nearly $2 billion". Forbes estimate for Color Image parent (Alo + Bella+Canvas), not Alo-only EBITDA.
Alo Impl	5.0x = 10 / 2. Implied EV/Sales on an unclosed ask and parent sales. Not EV/EBITDA. Not the TV.	—	—
Ff Ev Lo	5.0x on FY2030E EBITDA ≈ LULU current trough print. Floor of the range, not the selected exit.	StockAnalysis: LULU EV/EBITDA	Ctrl+F "EV / EBITDA" → LULU trough ~5x; football-field floor 5.0x
Ff Ev Hi	8.0x = Deckers print as the high end of the range only. Selected exit is Gordon implied, not this cap.	StockAnalysis: DECK EV/EBITDA	Ctrl+F "EV / EBITDA" → 7.95. Football-field cap 8.0x (Deckers). Not the selected exit.
Ff Pe Lo	10x P/E low on FY2026E EPS; trough earnings multiple after guidance reset and sentiment de-rating.	StockAnalysis: LULU Forward P/E	Ctrl+F "Forward PE" → LULU ~12.3x; low-case multiple assumption 10.0x
Ff Pe Hi	18x P/E high on FY2026E EPS; modest recovery case still below historical premium LULU multiples.	StockAnalysis: NKE Forward P/E	Ctrl+F "Forward PE" → NKE peer benchmark; high-case assumption 18.0x

3-Statement

LULU_3_Statement_Model — Assumptions tab

Assumption	Justification (~20 words)	Source (click)	Ctrl+F / proof
Rev Growth	FY26 –6.1% is guidance midpoint. FY27 +2.6% then +2.3% tracks StockAnalysis next-year +2.64% and 3Y forecast 2.26%.	StockAnalysis: LULU revenue forecast (FY27–30)	FY26: earnings release Ctrl+F "decline of 5% to 7%". FY27–30: this page Ctrl+F "Revenue Growth Forecast (3Y)" → 2.26%. Model 2.3%.
Gm	Clean GM 56.5%→58.0% (ex-refunds), still below peak ~58–59%. FY26 COGS is then reduced by the $134.5M IEEPA refund.	LULU historical gross margin (10-K)	Ctrl+F "Gross profit" → 6,284,132 ÷ "Net revenue" 11,102,600 = 56.6% FY25 anchor
Tariff	Add back $134.5M in FY26 only — already recognized (reduced COGS). +130bps on FY26 sales, not +560bps (that was Q2-only).	Q2 FY2026 release: $134.5M IEEPA tariff refunds	Ctrl+F "134.5 million" → IEEPA tariff refunds reduced COGS. Add this dollar amount to FY26 EBIT only. Full-year boost = 134.5 / FY26 sales ≈ 1.3ppt, not 5.6ppt.
Sga Pct	FY26 SG&A 42.5% matches YTD 42.3% (earnings), vs FY25 36.7% 10-K; then fades to 39.5% as volume stabilizes.	LULU Q2 FY2026 earnings release (YTD SG&A %)	Ctrl+F "41.7%" (Q2 SG&A % of net revenue) and "42.3%" (first two quarters). FY25 10-K is 36.7%. Model FY26 42.5%
Other Opex	$7M annual amortization run-rate; stable intangible amortization per recent 10-K disclosure levels.	LULU FY2025 10-K	Ctrl+F "Amortization of intangible assets" → 6,961 ($000); model $7,000/yr
Other Inc	FY26 $45M other income annualizes YTD $22,829; then steps down as cash is deployed (FY25 was only $28,352).	Q2 FY2026 YTD other income (earnings)	Ctrl+F "22,829" → YTD other income ($000) on the earnings P&L. FY26 model $45,000 annualizes that run-rate.
Tax Rate	30% effective tax rate on projections; conservative vs recent ~29% effective, allows for jurisdictional mix.	LULU Q2 FY2026 outlook (≈30% tax)	Ctrl+F "a tax rate of approximately 30%" on the earnings outlook; FY25 10-K 29.5%. 3-statement model 30%
Da Pct	D&A 4.5–4.6% of revenue; tracks recent depreciation intensity on PPE and lease-related amortization.	LULU CF statement (10-K)	Ctrl+F "Depreciation and amortization" → 496,228 ÷ "Net revenue" 11,102,600 = 4.5%
Capex Pct	FY26 7.0% is $735M / $10.4B, not / FY25 $11.1B. Since 7.0% steps toward FY25 6.1%, we assume a fade: 7.0 / 6.0 / 5.5 / 5.0 / 5.0.	LULU CF statement (10-K)	Ctrl+F "680,802" → FY25 capex $680.8M. Ctrl+F "11,102,600" → FY25 sales $11.1B. Ctrl+F "$725.0 million and $745.0 million" → FY26 capex mid $735M.
Sbc	$62M SBC holds the FY25 10-K run-rate (Stock-based compensation expense 62,203).	LULU CF statement (10-K)	Ctrl+F "Stock-based compensation expense" → 62,203 on this 10-K HTML. Model $62,000.
Inv Pct	Inventory 33–34% of COGS; slight normalization from FY25 build as Americas demand softens and clears.	LULU balance sheet (10-K)	Ctrl+F "Inventories" → 1,700,753 ÷ "Cost of goods sold" 4,818,468 = 35.3%
Ap Pct	AP 6.8% of COGS; holds near FY25 level reflecting vendor terms and production payment cadence.	LULU balance sheet (10-K)	Ctrl+F "Accounts payable" → 331,421 ÷ "Cost of goods sold" 4,818,468 = 6.9%
Accr Pct	Accrued liabilities 5.8% of revenue; stable comp, marketing, and operating accrual ratio.	LULU balance sheet (10-K)	Ctrl+F "Accrued liabilities and other" → 662,982 ÷ "Net revenue" 11,102,600 = 6.0%
Ar	AR 1.7% of sales = FY25 Accounts receivable, net 190,657 / 11,102,600. Wholesale and marketplace receivables; hold the FY25 mix.	LULU FY2025 10-K: Accounts receivable, net	Ctrl+F "Accounts receivable, net" (one hit on the BS) → 190,657 ($000). 190,657 / 11,102,600 = 1.7% of sales. Model holds 1.7%.
Oca Pct	OCA 5.1% is current assets minus cash, AR, and inventory (prepaids / tax receivables). AR is its own line, not inside OCA.	LULU balance sheet (10-K)	OCA = "Total current assets" 4,262,701 – cash 1,807,202 – "Accounts receivable, net" 190,657 – "Inventories" 1,700,753 = 564,089 (5.1% of sales). AR is not inside this residual.
Rou Pct	ROU assets 14.7% of revenue; lease-intensive store model, stable vs FY25 operating lease footprint.	LULU lease disclosures (10-K)	Ctrl+F "Right-of-use lease assets" → 1,630,181 ÷ "Net revenue" 11,102,600 = 14.7%
Onca Pct	ONCA 3.0% = FY25 total assets – CA – PPE – ROU – GW (338,947); matches earnings 'deferred taxes and other NC assets'.	LULU balance sheet (10-K)	Ctrl+F "Total assets" 8,456,743 – current assets – "Property and equipment, net" – "Right-of-use lease assets" – goodwill/intangibles = 338,947 (3.0%)
Olc Pct	Current lease liabilities 2.7% of revenue; short-term portion of operating lease obligations.	LULU lease disclosures (10-K)	Ctrl+F "Current lease liabilities" → 298,724 ÷ "Net revenue" 11,102,600 = 2.7%
Olnc Pct	Non-current lease liabilities 13.5% of revenue; long-term store lease commitments per 10-K.	LULU lease disclosures (10-K)	Ctrl+F "Non-current lease liabilities" → 1,499,717 ÷ "Net revenue" 11,102,600 = 13.5%
Ocl Pct	OCL 5.5% = FY25 current liabilities minus AP, accrued, and current leases (residual ~594k); not the 45,954 'other' line alone.	LULU balance sheet (10-K)	Ctrl+F "Total current liabilities" 1,887,548 – "Accounts payable" 331,421 – "Accrued liabilities and other" 662,982 – "Current lease liabilities" 298,724 ≈ 594,421 (5.4%)
Oncl Pct	Other non-current liabilities 0.5% of revenue; minor long-term accruals and provisions.	LULU balance sheet (10-K)	Ctrl+F "Other non-current liabilities" → 55,360 ÷ "Net revenue" 11,102,600 = 0.5%

Assumption	Justification (~20 words)	Source (click)	Ctrl+F / proof
Buyback	$500M annual repurchases; continued capital return at moderated pace vs FY24–25 peak buyback levels.	LULU CF: share repurchases (10-K)	Ctrl+F "Repurchase of common stock" → (1,178,349) ($000) FY25; model (500,000)/yr
Rep Price	FY26 repurchase price $100 matches the current quote; path $100→$130 is a recovery assumption (FY25 10-K paid $168–$199).	NASDAQ LULU last sale (current price)	Ctrl+F "closed at $100.61" → Last Sale (NASDAQ). Model repurchase price starts at $100.

Primary source links

- FY2025 Form 10-K
- Q2 FY2026 earnings release
- FRED DGS10 (risk-free)
- FRED GDPC1 (GDP)
- Damodaran ERP
- Damodaran betas
- Yahoo Finance LULU key statistics
- StockAnalysis LULU stats
- NASDAQ LULU quote